

Meta Platforms, Inc.
META NASDAQ

Buy	\$648.26 ▲ 0.60%	12M Price Target \$750.00	52-Week Range \$520.26 – \$790.80	Market Cap \$1.65T
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META: Ad Engine Humming, But Watch The AI Spending

WHAT HAPPENED

- Stock bounced back to \$648 after two soft sessions — the big up-day Tuesday (\$613 → \$653 on huge volume) looks like institutions repositioning ahead of CPI (Consumer Price Index — the government's inflation report). Low volume today (7.4M vs 20M+ normal) tells me nobody's making big bets before that print.
- The options market is flashing a warning: put/call ratio of 0.46 sounds bullish on the surface, but the UNUSUAL activity is all in PUTS — someone bought 18,700 put contracts at the \$650 strike (puts = bets the stock falls). That's roughly \$4M of "insurance" or outright bearish bets clustered right at today's price. Not panic, but somebody big is hedging.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Antitrust rerun: if Dems sweep midterms, the FTC's case to break off Instagram/WhatsApp gets fresh political oxygen — that's an existential risk to the sum-of-parts value
- AI capex bonfire: they're spending \$60-70B/year on AI infrastructure with no proven revenue payoff yet — if Wall Street loses patience, the stock gets punished like it did in late 2022
- The one nobody's talking about: TikTok is still operating in the US despite the divest-or-ban law — every month TikTok stays, Reels (META's TikTok competitor) grows slower than the bulls model

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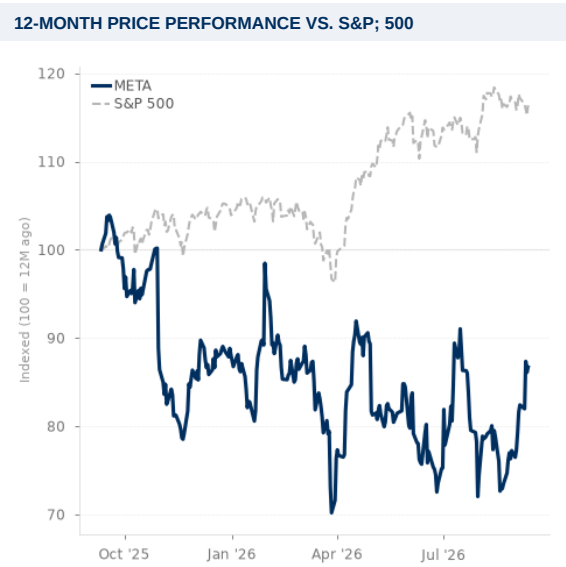
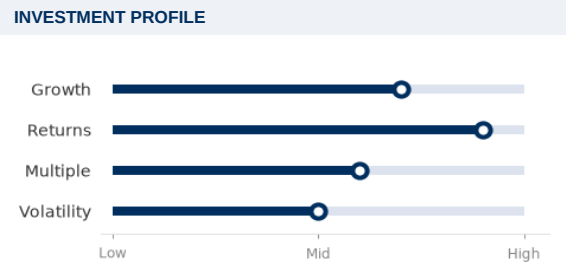
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Key Data	
Price (USD)	\$648.26
12M Price Target	\$750.00
Upside / (Downside)	+15.7%
Market Cap	\$1.65T
FY2026E Revenue	\$195M
FY2027E Revenue	\$222M
FY2026E EPS	\$26.50
FY2027E EPS	\$30.75
Fwd P/E	24.5x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$690.00	\$660.00	\$610.00
6 Months	\$750.00	\$690.00	\$580.00
1 Year	\$820.00	\$750.00	\$550.00
2 Years	\$950.00	\$820.00	\$500.00
5 Years	\$1300.00	\$950.00	\$450.00
10 Years	\$2000.00	\$1300.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.39%) and Comm Services (+1.22%) leading today — money flowing back into mega-cap quality after last week's rate scare. AI infrastructure names still get bid on any hint of enterprise adoption.

COOLING OFF: Financials and Consumer Discretionary weak on 5-day (-2.3%, -3%) — market pricing in a consumer slowdown, which is actually a mixed signal for META (ad budgets could compress, but they take share from weaker channels).

ROTATION WATCH: Money rotating out of cyclical (economy-sensitive stocks) and into mega-cap tech — classic late-cycle behavior when investors want growth without economic risk. META benefits from this.

RELATED PLAY: If META's ad engine keeps humming, The Trade Desk (TTD) and AppLovin (APP) are second-order winners — the whole digital ad ecosystem lifts. On the AI side, Arista Networks (ANET) sells the networking gear for META's data centers.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Search ad business proving AI-resilient, plus antitrust remedy came in softer than feared
- APP (AppLovin): AI-powered ad targeting is eating market share — proves the "AI + ads" thesis META is chasing

META CONTEXT: META is roughly in-line with Comm Services this week but lagging pure AI plays. That tells me the market views META as a "quality compounder" not a "AI story stock" right now — which is fine, because it means expectations are reasonable and beats can drive the stock higher.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the insider selling + unusual put activity keeps me from pounding the table right here.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. META has scale, margins, and a real AI hand to play.

ENTRY POINTS: I'd add on pullbacks to \$610-625 (recent support). If we get a midterm-related selloff to \$580, back up the truck.

TIME HORIZON: 12-24 months — catalysts are Q4 earnings (Reels monetization update) and the post-midterm regulatory picture becoming clearer.

WHEN TO BAIL: If ad revenue growth drops below 10% year-over-year, or if a court/agency forces Instagram divestiture, I'm out.

HEDGING: Simplest hedge — buy a January put option at \$600 strike as insurance (costs ~1-2% of your position but protects you if regulation or a recession hits). Or just trim 20% of the position if we rip to \$720+ before earnings.